

important, how do we know that we are drawing the right lessons from those changes?

To answer these kinds of questions, startups have a strong need for a new kind of accounting geared specifically to disruptive innovation. That's what innovation accounting is.

An Accountability Framework That Works Across Industries

Innovation accounting enables startups to prove objectively that they are learning how to grow a sustainable business. Innovation accounting begins by turning the leap-of-faith assumptions discussed in [Chapter 5](#) into a quantitative financial model. Every business plan has some kind of model associated with it, even if it's written on the back of a napkin. That model provides assumptions about what the business will look like at a successful point in the future.

For example, the business plan for an established manufacturing company would show it growing in proportion to its sales volume. As the profits from the sales of goods are reinvested in marketing and promotions, the company gains new customers. The rate of growth depends primarily on three things: the profitability of each customer, the cost of acquiring new customers, and the repeat purchase rate of existing customers. The higher these values are, the faster the company will grow and the more profitable it will be. These are the drivers of the company's growth model.

By contrast, a marketplace company that matches buyers and sellers such as eBay will have a different growth model. Its success depends primarily on the network effects that make it the premier destination for both buyers and sellers to transact business. Sellers want the marketplace with the highest number of potential customers. Buyers want the marketplace with the most competition among sellers, which leads to the greatest availability of products and the lowest prices. (In economics, this sometimes is called supply-side increasing returns and demand-side increasing returns.) For this kind of startup, the important thing to measure is that the network effects are working, as evidenced by the high retention rate